because when someone is legally on the account, that means they have full access to the funds in it.

Checking Versus Savings

For basic banking, there are two main types of accounts: checking and savings. A **checking account** is what you will use for the majority of your transactions. A **transaction** puts money into your account (**deposit**) or takes money out of your account (**withdrawal**). Checking accounts typically have very low or zero interest rates, so there is no reason to keep large amounts of money in them. You should use your checking account to pay for your regular expenses, including your bills and debt. Checking accounts are also what you will use to set up a direct deposit with your employer. **Direct deposit** allows your paycheck to be deposited directly into your account each payday. Many banks will offer incentives, like waiving monthly fees, if you set up direct deposit.

Checking accounts also come with a **debit card**, usually a Mastercard or Visa, that is linked directly to the account. If you use your debit card to buy $20 worth of gas, the $20 will automatically be deducted from your account. Your debit card is not a credit card, and it has nothing to do with your credit score (a topic we'll cover in the chapter on credit). When you are at the store paying for something with your debit card, the clerk might ask if you would like to make the purchase with "debit or credit." Your choice only affects how the transaction is processed for the store—not for you. Whichever option you choose, the money will still be taken out of the checking account that the card is linked to.

A **savings account** pays a higher interest rate than a checking account and should be used for—you guessed it—saving money.